



The Role of Humanoid Robots in the Retail Sector with Special Reference to Pepper and Cruzr

Shirly Rex  ^{*}¹ and Shikhil Domingo  [†]²

¹Assistant Professor, GNIOT Institute of Management Studies, Greater Noida

²Research Scholar, School of Management and Business Studies, Jamia Hamdard, New Delhi

Abstract

This chapter explores the function of humanoid robots in the retail industry, emphasizing how they affect consumer engagement, operational effectiveness, and customer service. Two humanoid robots, Pepper and Cruzr, are specifically mentioned because they are two of the most popular robots in retail settings. The chapter explores the functions of these robots, their integration into retail environments, and the general customer experience. With a focus on customer engagement, operational sustainability, and the future of automation in retail, it also examines the possible advantages and difficulties of integrating humanoid robots into the workforce. The study evaluates how well these robots are transforming retail services using qualitative technique using case studies.

Keywords: Humanoid Robots. Retail Sector. Pepper. Cruzr. Consumer Engagement.

*Email: rexshirly@gmail.com Corresponding Author

†Email: Shikhil.domingo@gmail.com

1 Introduction

Technology advancements aimed at enhancing operational effectiveness and customer service are driving a revolutionary change in the retail sector. Humanoid robots are becoming more and more well-known among these advancements because of their capacity to engage with clients, help with sales, and automate jobs that were previously performed by human staff members. The function of humanoid robots in the retail industry is examined in this chapter, with special attention paid to Pepper and Cruzr, two sophisticated humanoid robots that have been used in a variety of retail settings. SoftBank Robotics created Pepper, a humanoid robot that can communicate with clients via touch and conversation. It has the ability to identify emotions and modify its reactions to provide each consumer a unique experience. Another humanoid robot made for customer service and interaction in retail settings is Cruzr, created by UBTECH Robotics. Greeting guests, helping with product information, directing shop navigation, and improving consumer engagement through emotional contact are just a few of the tasks that both robots are made to do. As robotics technology evolves, we believe that personal social robots will be one of the next big expansions in the robotics sector. Based on the accelerated advances in this multidisciplinary domain and the growing number of use cases, we can posit that robots will play key roles in everyday life and will soon coexist with us, leading all people to a smarter, safer, healthier, and happier existence. The Pepper robot, developed by SoftBank Robotics, is one such robot created with the goal of achieving this vision (Pandey & Gelin, 2018). This article aims to present the insights derived from the design and applications of this machine and illustrate some of the use cases and research projects involving SoftBank Robotics to better understand the companion relationship between human and robot achievable through Pepper. We conclude by outlining some of the grand challenges ahead for research and development (R&D).

The CRUZR robot, developed by UBTECH Robotics, represents a significant advancement in humanoid robotics, particularly in the realms of retail and customer service. Designed to provide assistance and interact with customers, CRUZR integrates sophisticated artificial intelligence (AI), natural language processing (NLP), and machine learning technologies to create a seamless and personalized experience. This research paper explores the functionality, applications, and impact of CRUZR in retail environments, highlighting its potential to revolutionize customer interactions, improve operational efficiency, and enhance overall service delivery. For retail enterprises, integrating humanoid robots like Pepper and Cruzr offers several advantages, including improved customer experiences, cost savings, and higher operational efficiency. Against the backdrop of structural changes in the retail trade, social robots have found their way into retail stores and shopping malls in order to attract, welcome, and greet customers; to inform them, advise them, and persuade them to make a purchase.

Salespeople often have a broad knowledge of their product and rely on offering competent and honest advice, whether it be on shoes, clothing, or kitchen appliances. However, issues including interaction with current retail technology, robot limits, and client acceptability must also be addressed. These elements are examined in this chapter.

2 Humanoid Robots in Retail: A Conceptual Framework

Humanoid robots are used in retail settings to improve customer satisfaction, expedite processes, and offer a state-of-the-art technical solution to retail problems (Bogue, 2019). These robots can do a number of tasks, including greeting customers, responding to their questions, making product recommendations, and even directing them to particular items or areas within the store, thanks to their sophisticated artificial intelligence (AI), sensors, and interactive features. The hypothetical model that follows illustrates how humanoid robots, like Pepper and Cruzr, are integrated into retail environments to affect employee duties, operational efficiency, and customer satisfaction (see Figure 1).

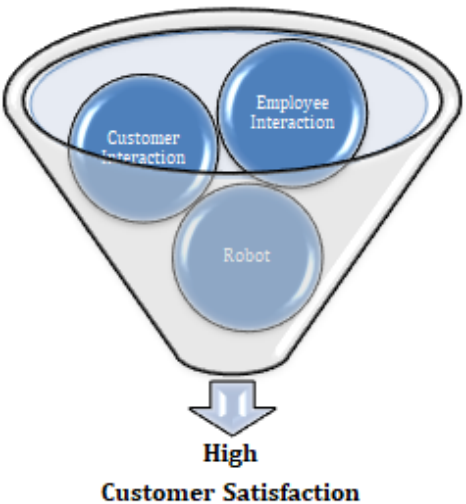


Figure 1. Humanoid Robot Integration in Retail

By concentrating on the interactions between consumers, robots, and store employees, the model demonstrates the connection between automation, human roles, and customer satisfaction. The integration of humanoid robots in retail environments represents a significant shift in the retail sector, offering numerous benefits to both businesses and consumers.

These robots are designed to enhance customer experiences, streamline store operations, and integrate advanced technologies such as Artificial Intelligence (AI) and machine learning to improve efficiency. In this conceptual framework, we explore how humanoid robots contribute to improving customer satisfaction, expediting processes, and addressing common retail challenges (Sachani, 2018).

1. Task Automation and Operational Efficiency

Humanoid robots in retail settings are not limited to customer interaction. They are also capable of automating various in-store processes, thereby improving operational efficiency. Tasks such as inventory management, shelf scanning, and product replenishment can be handled by robots, allowing human staff to focus on more complex or customer-centric tasks. Research by Gonzalez-Aguirre et al.'s (2021) highlights that humanoid robots can effectively reduce labor costs and improve the speed of restocking or locating items, as well as decrease the occurrence of human error in stock management. Furthermore, robots with sensors and cameras are equipped to monitor store aisles, ensuring that shelves are stocked appropriately and that products are in their correct locations (Thompson et al., 2018). The automation of these tasks can lead to reduced waiting times for customers and smoother operations overall.

2. Customer Interaction and Assistance

Humanoid robots are increasingly being deployed in retail stores as interactive agents, designed to assist customers by providing information and personalized recommendations. The robots' AI systems enable them to recognize customer queries and provide timely responses, making them useful for both new and regular customers. According to a study by Song and Kim's (2022), humanoid robots can effectively engage customers by offering dynamic and contextualized responses based on their interactions, which helps in creating a more personalized shopping experience. These robots can serve as guides to customers by directing them to specific products or areas within a store, enhancing the navigation experience (Song & Kim, 2022). They can also answer common questions such as product availability, prices, and features, reducing the burden on human staff and increasing operational efficiency.

3. Robots as Service Enhancers

Humanoid robots also enhance the emotional aspect of customer interactions. Studies have shown that customers tend to develop an affinity for robots that display human-like traits, such as expressions of empathy, politeness, or humor (Chuah & Yu, 2021). These emotional connections can enhance brand loyalty and contribute to a positive shopping environment. According to researchers robots equipped with

voice recognition and emotional intelligence can identify customer sentiments and respond accordingly, which could help defuse situations where customers feel frustrated or confused .

4. Enhancing Customer Experience

Humanoid robots play a pivotal role in improving the overall shopping experience. They can act as greeters at store entrances, providing customers with a warm welcome and offering helpful information about store promotions, layout, or discounts . The novelty and technological sophistication of humanoid robots can also elevate the perception of the retail brand as innovative and customer-focused (Wang et al., 2022). In addition to physical tasks, humanoid robots can also interact with customers through digital platforms and integrate with mobile applications. This allows for an omnichannel experience where customers can engage with the robot on their smartphones to check product availability or even complete a purchase (Luo, Lau, & Li, 2023). By offering this seamless integration of offline and online experiences, humanoid robots are enhancing customer satisfaction and loyalty.

5. Ethical and Social Considerations

Despite the benefits of humanoid robots in retail, several ethical and social considerations must be addressed. For example, there are concerns regarding job displacement and the potential impact on retail employees. According to researchers while robots can perform routine tasks, they are unlikely to replace human workers entirely. Instead, the integration of robots should be viewed as an opportunity to reallocate human resources to more value-added roles, such as customer service or creative decision-making. Additionally, privacy concerns related to the collection and usage of data by humanoid robots need to be carefully managed. The implementation of robust data protection policies and transparency in data collection practices will be key in maintaining consumer trust (Chatzimichali, Harrison, & Chrysostomou, 2021).

Our model will work in retail setup and is depicted through a model given in Figure 2 .

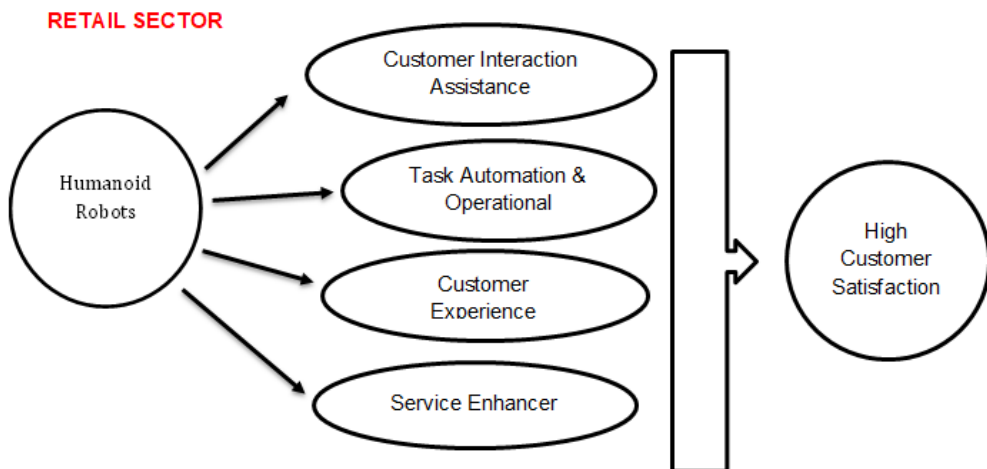


Figure 2. Conceptual framework of Humanoid Robot Integration in Retail

Pepper, the humanoid robot developed by SoftBank Robotics, is specifically designed to enhance customer engagement through its ability to read and respond to human emotions. Pepper is equipped with sensors that allow it to recognize faces and interpret emotional cues from customer interactions. This capability enables Pepper to adapt its behavior based on the customer's mood, creating a more personalized experience.

Pepper has been deployed in numerous retail environments, including shopping malls, electronic stores, and customer service centers. Its main functions in retail include:

- **Greeting Customers:** Pepper welcomes customers with a friendly introduction and can initiate conversations.
- **Providing Product Information:** Pepper can provide detailed information about products, helping customers make informed purchase decisions.
- **Emotion Recognition:** By analyzing facial expressions and body language, Pepper can adjust its responses to create a more engaging and pleasant interaction.

Pepper's ability to engage with customers has made it a valuable asset in the retail sector, particularly in locations where human resources are limited or where there is a need for a high level of customer interaction.

2.1 Cruzr: A Versatile Retail Assistant

Cruzr, developed by UBTECH Robotics, is another humanoid robot designed to improve customer service and operational efficiency. Cruzr is equipped with an array of advanced technologies, including facial recognition, voice recognition, and a user-friendly interface, which enable it to interact with customers and assist retail staff effectively. Cruzr's functions in retail include:

- **Store Navigation Assistance:** Cruzr can guide customers to specific products or sections within the store, improving the overall shopping experience.
- **Inventory Management:** Cruzr can help with inventory checks, ensuring that stock levels are maintained and reducing the workload on human employees.
- **Customer Engagement:** Cruzr is capable of answering customer queries, providing information about store promotions, and assisting with checkout processes.

Cruzr's versatility makes it an ideal addition to retail environments, as it can perform a wide range of tasks and integrate seamlessly with existing store systems.

3 Benefits of Humanoid Robots in Retail

Humanoid robots like Pepper and Cruzr bring several benefits to the retail sector, transforming how businesses operate and interact with customers.

1. Improved Customer Experience

The ability of humanoid robots to engage with customers on a personal level enhances the overall shopping experience. By recognizing emotions, answering questions, and providing assistance, robots like Pepper and Cruzr create a welcoming atmosphere that encourages customer loyalty.

2. Operational Efficiency

Humanoid robots can automate repetitive tasks, such as answering basic customer inquiries, guiding customers to products, and assisting with inventory management. This reduces the burden on human employees and allows them to focus on higher-value tasks, such as customer service and sales.

3. Cost Savings

By automating tasks that would typically require human labor, humanoid robots can help retailers reduce operational costs. Over time, the investment in robots like Pepper and Cruzr can pay off through increased efficiency and customer satisfaction.

4. Brand Innovation

The use of humanoid robots can enhance a retail brand's image by showcasing its commitment to innovation and cutting-edge technology. This can attract tech-savvy consumers and differentiate the brand from competitors.

4 Challenges in Implementing Humanoid Robots in Retail

Despite the benefits, several challenges arise in the integration of humanoid robots in retail environments.

- Customer Acceptance

One of the primary challenges is customer acceptance. While some customers may appreciate the novelty of interacting with humanoid robots, others may be hesitant or uncomfortable with the technology. Retailers must address these concerns by educating customers about the robots' capabilities and ensuring that the robots' interactions are smooth and human-like.

- Technological Limitations

Humanoid robots are not without their limitations. For example, they may struggle to handle complex customer queries or tasks that require human judgment. Furthermore, technical malfunctions can disrupt service, leading to customer dissatisfaction.

- Cost of Implementation

The initial cost of acquiring humanoid robots like Pepper and Cruzr can be high, and small retailers may find it difficult to justify the investment. Retailers must weigh the costs against the potential long-term benefits of automation and improved customer service.

5 Conclusion

The integration of humanoid robots, such as Pepper and Cruzr, into the retail sector marks a significant step towards automation and enhanced customer engagement. These robots not only assist with routine tasks but also contribute to a more personalized shopping experience, driving customer satisfaction and loyalty. However, challenges related to customer acceptance, technological limitations, and implementation costs must be addressed for widespread adoption to occur. As humanoid robots continue to evolve, their role in retail is likely to expand, offering new opportunities for retailers to improve efficiency, reduce costs, and provide innovative services. The future of retail may very well depend on how effectively businesses embrace automation and integrate humanoid robots into their workforce.

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